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DEPARTMENT OF COMPUTER APPLICATIONS

HUMAN RESOURCE MANAGEMENT (24MCO05)

CASE STUDY

EXECUTIVE COMPENSATION IN MNCS

2025-2026

ASSIGNMENT – 2

Submitted by

SIVASUBRAMANIAN S (24MCR104)

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DEPARTMENT OF COMPUTER APPLICATIONS

Transform Yourself

Estd : 1984

EXECUTIVE COMPENSATION IN MNCS

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BACKGROUND

- ✓ MegaCorp, a leading multinational company, revealed that its CEO's salary was **200 times higher** than the average employee's pay.
- ✓ This disclosure led to **public criticism** and **employee dissatisfaction**.
- ✓ Concerns arose about **income inequality** and **fairness in compensation practices**.

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Key Environmental Factors:

Economic Factors: Competitive market pressures influencing executive pay packages.

Social Factors: Rising employee awareness about pay transparency.

Legal Factors: Compliance with compensation disclosure laws.

Technological Factors: Increased visibility due to social media and global reporting.

Ethical Environment: Growing public concern over income disparities.

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Issues Identified

•**Employee Demotivation:** Workers felt their efforts were undervalued compared to top executives.

•**Negative Public Image:** Media criticism damaged the company's reputation.

•**Ethical Concerns:** Stakeholders questioned whether executive compensation was justified.

•**Internal Conflict:** Reduced trust between employees and top management.

•**Retention Risk:** Discontent could lead to higher attrition among mid-level staff.

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HR Challenges

Compensation Fairness: Aligning pay with performance across hierarchy levels.

Transparency: Communicating pay rationale without harming morale.

Employee Morale: Maintaining motivation despite visible income gaps.

Governance: Ensuring board accountability in setting executive pay.

Diversity and Inclusion Impact: Addressing pay equity across gender and roles.

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HR Strategies & Interventions

•**Performance-Linked Incentives:** Introduced bonuses and profit-sharing for all employees.

•**Pay Transparency:** Shared clear criteria for compensation and promotions.

•**Leadership Workshops:** Focused on ethical leadership and inclusive decision-making.

•**Communication Programs:** Open forums to discuss concerns and build trust.

•**Employee Recognition:** Launched non-monetary rewards for outstanding contributions

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Role of HR in Managing Executive Pay

- ✓ Establishing **clear compensation policies** approved by governance boards.
- ✓ Conducting **benchmarking studies** with industry standards.
- ✓ Ensuring **compliance** with local and international compensation regulations.
- ✓ Promoting **internal equity** through regular pay audits.

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Outcomes

- **Improved Organizational Image:** Transparent communication restored public trust.
- **Increased Employee Engagement:** Workers felt included in success-sharing plans.
- **Reduced Attrition:** Employees stayed due to fairer reward structures.
- **Ethical Reputation:** The company positioned itself as a responsible employer.

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Discussion Questions

- ✓ What factors influence executive compensation decisions?
- ✓ How can HR ensure fairness between executive and employee pay levels?
- ✓ What strategies can reduce negative perceptions of income inequality?
- ✓ Should governments regulate executive pay gaps?

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Conclusion:

- ✓ Encouraging open discussions on these questions can help organizations design fair, sustainable compensation systems.
- ✓ The revised HR policies promoted ethical leadership and equitable workplace culture.